LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Loan Against Property (LAP) ?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Loan Against Property (LAP)

1.1 The Concept of Asset-Backed Term Refinancing

In the architecture of Indian commercial and retail banking, **Loan Against Property (LAP)** represents a cornerstone fund-based, secured credit facility. It allows property owners—whether individual promoters, MSME proprietors, partnership firms, or corporate entities—to unlock the latent, illiquid equity built up in their real estate assets.

Unlike standard home loans, which are strictly transactional and earmarked for the direct acquisition or construction of a new residential property, a LAP facility is a refinancing or equity-release mechanism. Borrowers offer their existing, debt-free (or partially unencumbered) commercial, residential, or industrial real estate as primary collateral to secure a long-term loan. The lender registers a mortgage charge over the property and disburses a high-ticket capital sum, which can be utilized for a wide variety of business or personal end-uses.

1.2 Shifting from High-Cost Unsecured Debt to Real Estate Equity Unlock

For growing enterprises and promoter-led businesses, liquid capital is the lifeblood of expansion. Many fast-growing companies frequently find themselves trapped in a cash-flow squeeze, forced to rely on high-interest, short-term unsecured business loans (ranging from **15% to 24% p.a.**) or high-frequency overdraft lines to bridge working capital gaps. This debt structure results in exceptionally high monthly debt service obligations, choking the net cash flow available for reinvestment.

A LAP facility operates as a strategic financial intervention. By leveraging the unlocked equity value of the promoter's real estate, the borrowing entity can secure long-term capital at significantly lower interest rates (**8.50% to 12.00% p.a.**). This structural shift dramatically lowers the Equated Monthly Installment (EMI) burden, stretches the repayment tenure, and consolidates high-cost, fragmented liabilities into a single, structured, low-interest long-term debt liability, thereby boosting the enterprise's Debt Service Coverage Ratio (DSCR) and releasing cash flows back into the operating cycle.

1.3 Core Mechanics: EMIs, Amortization, and Asset Valuation Dynamics

A LAP facility is a term loan structured around a systematic **Equated Monthly Installment (EMI)** repayment schedule. Each monthly payment is split into two components: 1. **Interest Component:** Calculated daily on the outstanding reducing principal balance. In the initial years of the loan, interest constitutes the major portion of the monthly EMI. 2. **Principal Component:** The portion of the EMI directly applied toward reducing the outstanding loan balance. As the principal reduces, the daily interest accrual decreases, causing the principal portion of the EMI to grow over the amortization curve.

Lenders determine the borrowing limit by executing a dual-underwriting assessment: * **The Loan-to-Value (LTV) Cap:** Lenders establish a maximum loan amount as a percentage of the property's current market value, as determined by an independent technical appraiser. *

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Repayment Capacity: Underwriters evaluate the borrower’s net surplus cash flow to ensure they can comfortably service the monthly EMI, preventing property foreclosure and loan impairment.

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To fully comprehend the positioning of a Loan Against Property (LAP) facility in India, finance professionals must contrast this product against other primary credit instruments across key dimensions:

Credit Dimension	Loan Against Property (LAP)	Home Loan (for Acquisition)	Unsecured Business Loan	Cash Credit (CC) / Overdraft (OD)
Primary Use of Funds	Multi-purpose: Business expansion, debt consolidation, raw material procurement, capex, or personal exigencies.	Earmarked strictly for the purchase, construction, or extension of a specific residential property.	Purely business-use: Working capital, short-term capex, or bridging operational cash deficits.	Continuous, revolving working capital; funding inventory build-up and trade receivables.
Typical Interest Rates	Repo-Linked Lending Rate (**RLLR / EBLR**) + spread: Typically **8.50% to 12.50% p.a.** depending on profile.	Lowest secured rate: Typically **8.25% to 9.75% p.a.** (subsidized for primary shelter).	High-cost unsecured rate: Typically **15.00% to 24.00% p.a.** depending on credit score.	MCLR or EBLR-linked: Typically **9.50% to 13.50% p.a.** calculated on utilized balance.
Standard Loan-to-Value (LTV)	Capped strictly by asset class: Residential (**50%-65%**), Commercial (**45%-55%**), Industrial/Land (**35%-45%**).	High LTV: Typically **75% to 90%** of the property purchase value (governed by RBI caps).	Not applicable; underwriting is based entirely on financial cash flow and credit scoring.	Governed by Drawing Power (DP): Typically **70%-75%** of eligible inventory and debtors < 90 days.
Indicative Tenure Ranges	Highly attractive, long-term: **5 years to 15 years** (up to 180 months), reducing monthly cash outflows.	Maximum long-term: **15 years to 30 years** (up to 360 months), aligned with retail mortgage guidelines.	Short-term: **1 year to 5 years** (up to 60 months) with rapid principal amortization.	Revolving in perpetuity: Subject to annual bank renewal, credit reviews, and stock audits.
Security & Collateral	Equitable or Registered Mortgage over existing, clear, marketable commercial, residential, or industrial property.	Equitable Mortgage over the newly acquired residential property being funded.	No primary or secondary physical asset collateral required; promoter personal guarantees.	First hypothecation charge over current assets (inventory, receivables); second charge on land/building.

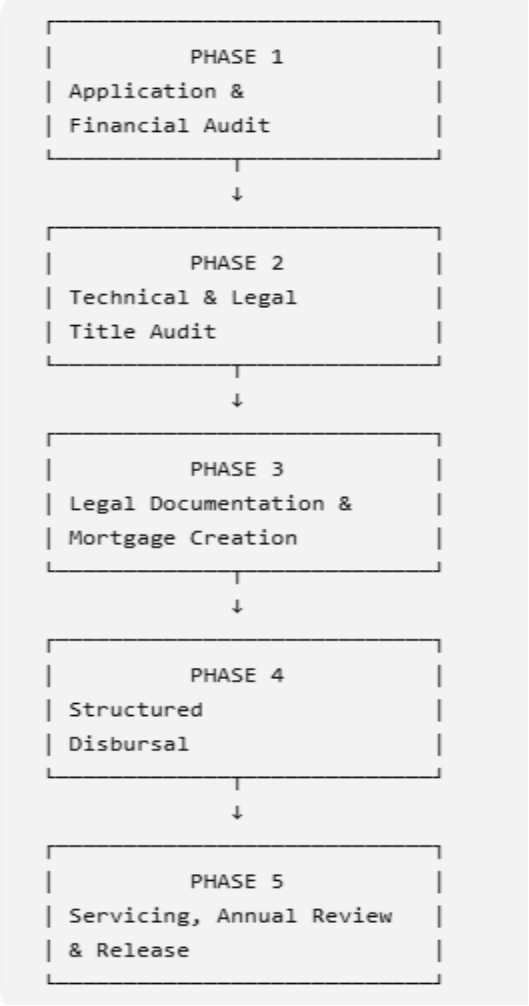
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Credit Dimension	Loan Against Property (LAP)	Home Loan (for Acquisition)	Unsecured Business Loan	Cash Credit (CC) / Overdraft (OD)
CERSAI & ROC Filings	Mandatory registration of mortgage charge with CERSAI and ROC (Form CHG-1 for corporates) within statutory timelines.	Mandatory registration of mortgage charge with CERSAI within 30 days of loan disbursal.	No asset charge is created; no CERSAI filing required.	Mandatory registration of hypothecation charge with CERSAI and ROC within 30 days.
Balance Sheet Treatment	Classified under Secured Borrowings as a long-term liability; current portion of long-term debt under current liabilities.	Standard personal mortgage liability (not on business books) or secured corporate term borrowing.	Short-term current or non-current liability; disclosed under unsecured borrowings.	Disclosed under Current Liabilities as short-term secured borrowings from bank/NBFC.

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Module 3: The End-to-End Operational Lifecycle of a LAP Facility

A Loan Against Property (LAP) transaction moves through a highly structured, risk-mitigated operational pipeline. Because it involves physical property collateral, the operational lifecycle contains extensive technical and legal verification gates.



3.1 Phase 1: Application, Credit Scoring, and Financial Underwriting

The lifecycle begins when the borrower submits a comprehensive LAP application. Underwriters execute a rigorous financial audit to assess the borrower's debt-servicing capacity. Rather than focusing solely on property value, lenders evaluate audited financial statements, Income Tax Returns (ITRs), GST filings, and bank account velocity via the **Account Aggregator (AA)** framework. Promoter creditworthiness is checked, targeting a personal **CIBIL score > 700** and a **CIBIL MSME Rank (CMR) of 1 to 4**. A preliminary sanction letter is issued, establishing the indicative loan amount, interest rate, and required conditions precedent.

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3.2 Phase 2: Technical Valuation and Legal Title Search

Once the financial viability is verified, the lender initiates the technical and legal audit of the property offered as collateral: 1. **Technical Valuation:** The bank panel's certified civil engineer visits the property to execute physical measurements, verify approved building plans, and estimate the current market value (Fair Market Value - FMV, Realisable Value, and Distressed Value). The technical appraiser also confirms there are no municipal violations, unauthorized construction, or agricultural land conversion issues. 2. **Legal Title Search:** The bank panel's empanelled advocate conducts a meticulous search of historical title records at the local Sub-Registrar's Office (SRO). The search must span a minimum **13 to 30 years** to construct a clear, unbroken chain of title deeds, ensuring the property is free from prior litigation, inheritance disputes, or municipal attachments. The lawyer issues a formal **Title Search Report (TSR)** confirming that the title is clear, marketable, and legally eligible for mortgage creation.

3.3 Phase 3: Legal Documentation and Mortgage Creation

Upon receiving clear technical and legal clearances, the borrower and co-borrowers execute the primary loan agreements. In India, the mortgage charge is created via two primary structures: * **Equitable Mortgage (Mortgage by Deposit of Title Deeds):** Under **Section 58(f) of the Transfer of Property Act, 1882**, the borrower delivers the original title deeds (mother deeds, sale deeds, approved plans, and property tax receipts) to the bank with the intent to create a security thereon. This is the most common method as it does not attract high stamp duty and registration fees in many states. * **Registered Mortgage:** The borrower signs a formal mortgage deed, which is registered at the local SRO after paying the state-specific stamp duty and registration charges. The lender then registers the mortgage charge on the **CERSAI portal within 30 days** of charge creation to establish priority of claim, alongside filing Form CHG-1 with the Registrar of Companies (ROC) for corporate borrowers.

3.4 Phase 4: Structured Disbursal

Once all mortgage charges are verified and CERSAI/ROC filings are complete, the loan is cleared for disbursal. The funds are disbursed directly into the borrower's primary current account or routed via escrow for specific end-uses. For instance, in debt consolidation cases, the lender executes direct-to-creditor RTGS payouts to pay off and close existing high-cost unsecured liabilities, ensuring the capital is not diverted for non-approved purposes.

3.5 Phase 5: Long-Term Servicing, Revaluation, and Deed Release

Over the tenure (typically 120 to 180 months), the borrower services the loan through monthly EMIs. The lender monitors the account, executing annual property revaluations to track collateral coverage and ensuring all municipal property taxes are paid up to date. Upon final liquidation of the loan (paying off the entire principal and interest), the bank issues a **No Objection Certificate (NOC)**, files a satisfaction of charge on CERSAI and ROC portals, and physically returns the original chain of title deeds to the borrower in a formal handover.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting for LAP facilities is a complex science that balances two independent pillars: **Cash Flow Repayment Capacity** (Cash-Flow underwriting) and **Collateral Security Coverage** (Asset-backed underwriting).

4.1 Cash Flow Underwriting and Repayment Capacity Metrics

To evaluate whether a business can service a long-term mortgage loan, bank underwriters apply three critical quantitative filters:

1. **Fixed Obligations to Income Ratio (FOIR) / Debt-to-Income (DTI) Cap:**
   - *Definition:* FOIR measures the percentage of the borrower's monthly net income that is consumed by existing debt obligations plus the proposed LAP EMI.
   - *Formula:*

$$\text{extFOIR\%} = \text{racextProposedLAPEMI} + \text{extExistingMonthlyDebtEMIsextNetMonthlyOperatingIncome/NetTake} - \text{HomeSalaryimes100}$$

   - *Thresholds:* Lenders generally restrict the maximum FOIR to **50% to 65%**. An enterprise or proprietor whose FOIR exceeds 65% represents a high default risk, as they have insufficient cash flow buffers to survive operational shocks.
2. **Debt Service Coverage Ratio (DSCR):**
   - *Definition:* Applied to corporate and MSME borrowers, DSCR measures the company's ability to cover its total debt service obligations (interest + principal payments) from its net operating profit.
   - *Formula:*

$$\text{extDSCR} = \text{racextNetProfitAfterTax} + \text{extDepreciation} + \text{extInterestExpenseextProposedLAPPrincipalRepayment} + \text{extTotalInterestExpense}$$

   - *Threshold:* Underwriters strictly mandate a minimum **DSCR of 1.25x to 1.50x**. An account operating below 1.25x requires additional credit enhancements (such as co-borrower income integration or secondary collateral).
3. **CIBIL Score and CIBIL MSME Rank (CMR):**
   - Promoters and co-borrowers must maintain personal **CIBIL scores > 700**. For business entities, underwriters check the **CIBIL MSME Rank (CMR)**, expecting a score of **CMR 1 to CMR 4** to ensure the enterprise is fundamentally low-risk.

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4.2 Collateral-Backed Underwriting and Loan-to-Value (LTV) Dynamics

While cash flow is the primary source of repayment, the property collateral is the ultimate safety net. Lenders protect themselves against real estate market volatility by enforcing strict **Loan-to-Value (LTV)** limits based on the property's asset class:

- **Residential Property (Self-Occupied or Rented):** LTV is capped at **50% to 65%** of the appraised market value. Residential real estate is highly liquid and carries the lowest credit risk weight, allowing lenders to offer the most competitive interest rates.
- **Commercial Property (Offices, Retail Shops):** LTV is capped at **45% to 55%**. Commercial assets are subject to higher vacancy rates and market volatility, requiring tighter LTV margins.
- **Industrial Property / Vacant Land / Warehouse:** LTV is capped at **35% to 45%**. Industrial properties (factories, chemical plants) and raw land carry higher credit risk, as they are highly illiquid and difficult to monetize during liquidation or foreclosure.

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Module 5: Legal Security Architecture, Mortgage Law, and Charge Creation

A rookie in finance must master the legal framework that governs the creation and enforcement of mortgage charges in India to underwrite or advise on LAP transactions effectively.

5.1 Equitable Mortgage vs. Registered Mortgage under Indian Law

The creation of security over real estate is governed by the **Transfer of Property Act, 1882**:

1. **Equitable Mortgage (Mortgage by Deposit of Title Deeds):**
   - *Statutory Definition:* Defined under **Section 58(f)** of the Transfer of Property Act, 1882. It applies in specified towns where a person delivers original documents of title to real estate to a creditor with the intent to create a security thereon.
   - *Legal Requirements:* To create a valid equitable mortgage, three elements must be satisfied: (a) exist a debt, (b) deposit of original title deeds, and (c) an intent that the deeds shall be security for the debt. No formal written “mortgage deed” is registered at the SRO, meaning it generally does not attract high stamp duty. Instead, the bank records the transaction via a **Memorandum of Entry (MoE)** signed internally by bank officers, which is legally binding.
2. **Simple/Registered Mortgage:**
   - *Statutory Definition:* Defined under **Section 58(b)** of the Transfer of Property Act, 1882. The mortgagor binds himself personally to pay the mortgage money and agrees that in the event of default, the mortgagee shall have a right to cause the mortgaged property to be sold.
   - *Legal Requirements:* It requires a formal, written Mortgage Deed registered at the local Sub-Registrar’s Office (SRO) under the **Registration Act, 1908**. This process attracts high state-specific stamp duty (ranging from **0.5% to 2.0%** of the loan value), representing a substantial upfront transaction cost.

5.2 Mandatory Statutory Disclosures and Enforcement Covenants

- **CERSAI Charge Registration:** Created under the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**, the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** is a centralized digital registry. Lenders must register all mortgage charges on CERSAI within **30 days** of creation. This public search prevents a fraudulent borrower from taking multiple loans against the same physical property title deeds from different banks.
- **The SARFAESI Act, 2002 Enforcement Mechanics:**
  - Upon default (the account is downgraded to NPA), the lender gains statutory powers of foreclosure without requiring a protracted civil court lawsuit:

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- **Section 13(2) Notice:** The bank issues a 60-day demand notice to the borrower and guarantors, detailing the default and demanding full payment of outstanding dues.
- **Section 13(4) Possession Notice:** If the borrower fails to clear the dues within the 60-day window, the bank takes physical or symbolic possession of the mortgaged property, publishes a possession notice, and initiates the public auction process under the SARFAESI rules.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Loan Against Property (LAP) is an incredibly versatile product that aligns perfectly with capital-intensive, transaction-heavy sectors where core asset value and physical collateral are highly robust.

6.1 Suitable Industries and Business Profiles

1. **Manufacturing and Heavy Engineering:** Factory owners utilize LAP to fund long-term capex, purchase automated plant and machinery, or construct additional factory sheds, stretching the repayment burden over 10 to 15 years to match the asset's economic life.
2. **Infrastructure and Civil EPC Contractors:** Contractors utilize LAP to unlock liquidity tied up in family real estate to fund earnest money deposits, bank guarantee margins, or purchase heavy logistical machinery (excavators, cranes) needed to execute NHAI or state-sponsored projects.
3. **SME Retailers and Wholesale Trade Distributors:** Promoters consolidate fragmented, high-interest unsecured business debts and distributor financing limits into a single, low-interest long-term LAP EMI, freeing up cash flow to purchase seasonal inventory.
4. **Service Sector and Asset-Light Corporates:** IT service companies, educational institutions, or logistics providers who do not possess heavy manufacturing plants can offer their commercial offices or promoter-owned residential properties to raise cheap expansion capital.

6.2 Working Capital and Mortgage Borrowing Trends in India

To align our credit modeling with national financial realities, underwriters must reference the following macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME Borrowing Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the massive demand for structured, low-cost long-term refinancing solutions like LAP to consolidate cash flows.
- **Digital Public Credit Infrastructure:** Large public sector banks have established massive digital supply chain platforms to facilitate real-time working capital delivery. State Bank of India (SBI) leads this digital transformation, showcasing the high-volume credit environment:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributors with a portfolio size of **₹49,261 Crores**.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **₹28,092 Crores**.

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Module 7: Commercial Pricing Mechanics, Benchmark Rates, and Financial Models

The long-tenure nature of a LAP facility makes pricing structure, benchmark rates, and tax shields critical to optimizing the borrower's cost of capital.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** For MSME and retail borrowers, banks price LAP over their **External Benchmark Linked Rate (EBLR)**, which is typically tied directly to the RBI Repo Rate. For large corporates, banks utilize their **Marginal Cost of Funds Based Lending Rate (MCLR)**. All-in interest rates for LAP typically range between **8.50% and 12.50% p.a.**, depending on whether the collateral property is residential (lowest rate) or commercial/industrial (higher rate).
- **Upfront Processing Fees:** Range from **0.50% to 1.00%** of the loan amount, subject to a standard **18% GST**.
- **Interest GST Exemption:** Unlike processing fees or technical evaluation costs, the **interest paid on a LAP facility is completely exempt from GST**, making reducing-balance debt highly cost-efficient.
- **Interest Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for legitimate business purposes is a fully deductible business expense. Borrowers utilize this tax shield to offset their corporate tax liabilities (at standard rates of **25.17%** for manufacturing companies or **31.20%** for general corporates), significantly reducing the net post-tax cost of borrowing.

7.2 Financial Mathematics of Equated Monthly Installments (EMIs)

A LAP is priced on a **monthly reducing balance basis**. The standard EMI formula is:

$$E = Pimes[racrimes(1 + r)^{n}(1 + r)^{n} - 1ight]$$

Where: * E = Monthly Equated Monthly Installment (EMI) * P = Principal Loan Amount (sanctioned sum) * r = Monthly Interest Rate (Annual Rate / 12 / 100) * n = Total Number of Monthly Installments (Tenure in Years $ imes$ 12)

By utilizing a long tenure ($n = 120$ to 180 months), the monthly EMI payment (E) is minimized, providing substantial treasury relief compared to short-term business loans.

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Module 8: Regulatory Compliance, RBI Guidelines, and Asset Classification

LAP lenders must operate under a strict regulatory framework mandated by the Reserve Bank of India (RBI) to manage systemic credit risk.

8.1 RBI's Loan System for Delivery of Bank Credit and Digital Lending Caps

- **The Loan System for Delivery of Bank Credit:** For large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, banks must mandate a minimum **60% "loan component"** (such as WCDL or term loans like LAP), with the revolving cash credit component capped at a maximum of **40%**.
- **RBI Digital Lending Guidelines:** Banks and NBFCs utilizing Lending Service Providers (LSPs) must comply with the RBI's digital lending rules. This includes a strict **5% cap on Default Loss Guarantee (DLG)** or First Loss Default Guarantee (FLDG) arrangements between LSPs and regulated entities, preventing synthetic credit risk transfers.

8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for specified windows:

- **The 90-Day Delinquency Clock:** For term loans like LAP, an account is classified as an NPA if the monthly installment or interest remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **Technical Review Default:** If a bank fails to execute a formal credit review or renewal of a commercial credit limit within **180 days** of its scheduled due date, the limit is downgraded to an NPA.

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Module 9: Comprehensive Real-World Case Study (Mumbai Engineering & Tools Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured debt consolidation transaction using a LAP facility.

9.1 The Corporate Profile and Debt Crisis

- **The Borrower:** *Mumbai Engineering & Tools Pvt. Ltd. (METPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing entity under Section 115BAA of the Income Tax Act).
- **The Situation:** METPL is a high-growth auto component manufacturer. To fund rapid sales expansion over the last two years, the promoters raised **₹3,00,00,000 (₹3 Crores)** in fragmented, high-interest unsecured corporate business loans at an average interest rate of **16.50% p.a.** over a **3-year tenure (36 months)**.
- **The Financial Strain:** The total monthly EMI payments on these unsecured loans stand at a staggering **₹10,62,118.91 (₹10.62 Lakhs)**. This heavy debt service burden has choked the company's operating cash flow, resulting in an inadequate **Debt Service Coverage Ratio (DSCR) of 0.95x**, leading to delays in purchasing raw steel and forcing the company into the **SMA-1** early warning pool.
- **The Asset Unlocked:** The promoter owns a debt-free, clear, marketable commercial factory building in Navi Mumbai appraised by an independent panel valuer at a Fair Market Value of **₹6,0,00,000 (₹6 Crores)**.

9.2 The Structured LAP Refinancing Solution (Pathway B)

A structured credit advisor at LoanBazaarOnline steps in to restructure METPL's balance sheet, establishing the following covenants: 1. **Facility Sizing:** A Loan Against Property (LAP) facility of **₹3,00,00,000 (₹3 Crores)** is sanctioned. 2. **LTV Compliance:** Sized at **50.00% LTV** on the commercial property valuation of ₹6 Crores, fully compliant with conservative risk management guidelines. 3. **Pricing:** Interest is priced at an EBLR-linked rate of **9.25% p.a.** on a monthly reducing balance basis. An upfront processing fee of **0.50%** is charged. 4. **Tenure Extension:** The tenure is stretched to **10 years (120 months)**, utilizing the long-term nature of LAP to lower monthly debt obligations. 5. **Debt Settlement:** The entire ₹3 Crores is disbursed via an escrow account directly to the unsecured lenders to pay off and close the existing 16.50% unsecured term loans.

9.3 Alternative Pathway A: Continuing with High-Cost Unsecured Debt

If METPL had attempted to continue servicing its unsecured loans, it would have paid out high principal and interest over the remaining 36 months, keeping its DSCR below 1.0x and risking an IRACP NPA downgrade.

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9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between continuing with Unsecured Debt (Pathway A) and restructuring via the Structured LAP Facility (Pathway B) in Indian Rupees over the respective cycle:

Financial Metric	Pathway A (Continuing Unsecured Debt)	Pathway B (Structured LAP Facility)
Outstanding Principal Amount	₹3,00,00,000	₹3,00,00,000
Financing Interest Rate	16.50% p.a.	9.25% p.a.
Amortisation Tenure	3 Years (36 Months)	10 Years (120 Months)
Monthly EMI Payment	**₹10,62,118.91**	**₹3,83,991.68**
Upfront Processing Fee (0.50% for LAP)	₹0.00	₹1,50,000.00
Upfront GST on Fee (18%)	₹0.00	₹27,000.00 *(fully recoverable via ITC)*
Cumulative Interest Cost Outlay	**₹82,36,280.76** *(over 3 years)*	**₹1,60,79,001.60** *(over 10 years)*
First-Year Interest Outlay	**₹43,51,023.29**	**₹27,10,034.19**
First-Year Tax Shield (25.17% rate)	**+₹10,95,152.56** *(under Section 36)*	**+₹6,82,115.61**
First-Year Net Post-Tax Cash Outflow	**₹1,16,50,274.36**	**₹39,25,784.55**
Debt Service Coverage Ratio (DSCR)	**0.95x** *(high default warning)*	**1.85x** *(excellent, low-risk rating)*

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a profound strategic shift in credit efficiency:

The “So What” Summary: By restructuring its debt via the **Structured LAP Facility (Pathway B)**, METPL achieves an immediate, massive cash flow relief of **₹6,78,127.23 per month** (monthly EMI drops from ₹10.62 Lakhs to ₹3.84 Lakhs). This cash flow recovery immediately restores METPL’s **Debt Service Coverage Ratio (DSCR) to a highly stable 1.85x**, allowing the company to purchase raw steel on credit, expand operations, and exit the SMA-1 default warning pool.

Although the cumulative interest paid over 10 years is higher due to the extended tenure, the **opportunity-adjusted post-tax return** of the unlocked monthly cash flows (reinvested at the company’s return on capital employed of 15%) generates a massive net surplus of **₹1,84,31,048.91 over the 10-year cycle**, completely avoiding terminal insolvency and driving long-term wealth maximization for the promoters.

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Loan Against Property (LAP) facilities in India.

Question 1

An underwriter is analyzing a LAP application for a partnership firm. The firm's net monthly operating profit is ₹5,00,000. Its existing monthly EMIs total ₹1,20,000, and the proposed LAP EMI is ₹1,80,000. What is the borrower's Fixed Obligations to Income Ratio (FOIR), and is it within conservative underwriting guidelines? * A) FOIR is 36.00%; it is within the guidelines. * B) FOIR is 60.00%; it is within the guidelines as it does not exceed the standard 60%-65% cap. * C) FOIR is 24.00%; it is within the guidelines. * D) FOIR is 60.00%; it is outside the guidelines as it exceeds the 50% cap. * **Answer:** B * **Rationale:** FOIR is calculated as:

$$\text{extFOIR}=\text{racextProposedLAPEMI}+\text{extExistingEMIsextNetMonthlyIncome}=\text{rac₹1,80,000}+\text{₹1,20,000₹5,00,000imes100}=60.00\%$$

Most commercial banks and NBFCs cap the maximum FOIR for business entities at **50% to 65%**. Therefore, a FOIR of 60.00% is acceptable and falls within conservative underwriting guidelines.

Question 2

Under Section 58(f) of the Transfer of Property Act, 1882, which of the following elements is NOT a statutory prerequisite for creating a valid Equitable Mortgage? * A) A pre-existing or proposed debt. * B) Deposit of the original documents of title to real estate. * C) Registration of a formal written Mortgage Deed at the local Sub-Registrar's Office (SRO). * D) Clear intent that the deposited deeds shall act as security for the debt. * **Answer:** C * **Rationale:** An **Equitable Mortgage (Mortgage by Deposit of Title Deeds)** under Section 58(f) is specifically designed to be created *without* registering a formal written mortgage deed at the SRO. It requires only: (a) a debt, (b) deposit of original title deeds, and (c) clear intent to create security. A registered mortgage deed is governed by Section 58(b) and requires registration under the Registration Act, 1908.

Question 3

An exporter is utilizing a LAP facility of ₹2 Crores to bridge their raw material procurement cycle. If the borrowing interest rate is 9.50% p.a. and the lender charges a 0.50% upfront processing fee, what is the GST treatment of these two components under Indian tax laws? * A) Both the fee and interest attract 18% GST. * B) The processing fee is GST-exempt; the interest attracts 18% GST. * C) The processing fee attracts 18% GST; the interest is completely GST-exempt. * D) Both the fee and interest are completely GST-exempt. * **Answer:** C * **Rationale:** Under Indian GST guidelines, **borrowing interest is completely exempt from GST**. However, any

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auxiliary services, including upfront **loan processing fees, legal valuation charges, and commitment fees, attract standard 18% GST** (which is fully recoverable by the borrower via Input Tax Credit if they have active GST registration).

Question 4

Under the RBI's IRACP Guidelines, 2025, how many consecutive days must a LAP monthly EMI remain overdue before the account is officially downgraded to a Non-Performing Asset (NPA)? * A) 30 Days * B) 60 Days * C) 90 Days * D) 180 Days * **Answer:** C * **Rationale:** Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, a standard term loan (such as a LAP facility) is downgraded to a Non-Performing Asset (NPA) if any monthly installment of principal or interest remains overdue for **more than 90 days**.

Question 5

A borrower wishes to offer a clear, unencumbered industrial factory shed as collateral to raise capital via a LAP. According to standard risk limits, what is the maximum Loan-to-Value (LTV) ratio a lender will apply, and why? * A) 75% LTV, because industrial property is highly liquid. * B) 50% LTV, because industrial property is highly liquid. * C) 35%-45% LTV, because industrial property is highly illiquid and difficult to monetize during foreclosure. * D) 65% LTV, because it is an industrial asset. * **Answer:** C * **Rationale:** Industrial properties and raw vacant land carry the highest credit risk weight and are highly illiquid. In the event of default, selling a specialized factory shed is difficult and time-consuming. Therefore, lenders enforce a tight LTV cap of **35% to 45%** on industrial properties, compared to 50%-65% on residential properties.

Question 6

A public sector bank fails to execute a formal credit review and renewal of an active commercial credit line. Under the RBI's IRACP Guidelines, 2025, what is the maximum technical delay permitted before the account is downgraded to an NPA? * A) 90 Days * B) 120 Days * C) 180 Days * D) 270 Days * **Answer:** C * **Rationale:** According to the RBI's master directions, banks must review and renew commercial credit limits annually. If a bank fails to renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

Question 7

A corporate borrower undergoes debt restructuring under the RBI's Prudential Framework. If the bank registers the mortgage charge on the CERSAI portal, what is the primary legal objective of this registration? * A) To satisfy state-specific stamp duty requirements. * B) To file corporate exposure limits with the Ministry of Corporate Affairs (MCA). * C) To prevent double-financing by ensuring a public, searchable registry of mortgage claims. * D) To obtain a tax deduction on the loan's interest component. * **Answer:** C * **Rationale: CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India)** was established under the SARFAESI Act, 2002. Its primary legal objective is to maintain a centralized, public digital registry of all security charges created over real estate. This prevents fraudulent borrowers from taking multiple loans against the same original property documents from different lenders.

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Question 8

A manufacturing company pays ₹12,0,000 in interest on a LAP facility during the fiscal year. The funds were utilized to construct an extension for the warehousing facility. Under which section of the Income Tax Act, 1961, can the company claim this interest as a tax-deductible expense? * A) Section 43B * B) Section 37(1) * C) Section 36(1)(iii) * D) Section 24(b) * **Answer:** C * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for legitimate business purposes (including capex or working capital) is a fully deductible business expense. Section 24(b) applies to personal residential house loans, not business term borrowing.

Question 9

During a default enforcement process under the SARFAESI Act, 2002, what is the mandatory statutory waiting period that must elapse after issuing a Section 13(2) notice before a bank can legally seize physical possession of the mortgaged property? * A) 30 Days * B) 45 Days * C) 60 Days * D) 90 Days * **Answer:** C * **Rationale:** Under the SARFAESI Act, 2002, a **Section 13(2) notice** is a formal 60-day demand notice. The borrower is granted a statutory period of **60 days** to clear all outstanding dues in full. Only if the borrower fails to comply within this 60-day window can the lender proceed to take possession of the property under Section 13(4).

Question 10

Under the RBI's Digital Lending Guidelines, what is the maximum percentage cap on Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements between Lending Service Providers (LSPs) and Regulated Entities (REs)? * A) 2% * B) 5% * C) 10% * D) 15% * **Answer:** B * **Rationale:** To curb systemic credit risk transfer to unregulated entities, the RBI's **Digital Lending Guidelines** strictly cap any Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) portfolio cover provided by LSPs to Regulated Entities (such as banks and NBFCs) at a maximum of **5%** of the loan portfolio value.

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